

Eicher Motors Ltd (EICHERMOT)

ROE	24.2%
ROCE	31.1%
CFO Quality	Moderate
Capital Allocation	Reinvestor

Strengths

- Consistently high return on equity above 20% demonstrates exceptional capital efficiency.
- Strong free cash flow generation over 5 years signals healthy business fundamentals.
- Operating profit margin above 25% indicates strong pricing power and cost discipline.
- Very high interest coverage ratio reflects negligible financial stress from debt servicing.
- Sustainable dividend payout backed by positive free cash flow.

Risks

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk.